

‘That’s okay, Lala, I am not a big player and I know where to draw my limits,’ he said. ‘Where I need help from you is to understand a few technical things about the market. Right now, I just fire in the direction my broker suggests. Can I call you up at least once a day?’ he asked.

I told him that he was free to call me up whenever he wanted to. Over the next few months, he would regularly call me up with his doubts.

‘Lala, my broker tells me the company is going to announce a stock split. Should I buy the stock?’ he asked on his first call.

‘Ten notes of Rs 100 each and one note of Rs 1,000 are the same,’ I told him.

‘Company X will announce its results the day after tomorrow, and my broker tells me that the numbers will be good. Should I buy?’

‘If your broker knows the results are going to be good, many others too will know. Check how much the stock has risen over the last month. If there is a decent appreciation already, it is unlikely that you will make much money. In fact, there is a high probability of you losing money as those who have got in early will start selling out.’

‘Company Y is facing labour trouble and the stock is down 5 per cent. My broker tells me it will fall further. Should I sell the shares I am holding in my portfolio?’

I recalled GB telling me that the market always seemed to delight in instant judgement before it had even ascertained all the facts.

‘What stock market traders forget is that businesses are built over a period of time. Like us, businesses too have difficult phases. But if the business model is good and the promoters’ intentions are fair, it will overcome the problem before long. You can’t write off a company for one setback, just as you can’t sack an employee for a single offence,’ he had once told me when an automobile stock got hammered after a new model it introduced fetched a poor response.

‘Dipya, the market tends to overreact both on good news and bad news. Unless you are a trader buying and selling by the minute, it is safer to wait till the dust settles,’ I told him.

‘Promoter X has been regularly buying the shares of his company. My broker says this is a definite indicator that the stock is undervalued. Should I buy?’

‘A promoter buying his own stock shows his confidence in the prospects for his company. But he may be taking a two-year view. Are you willing to